can see a little better if he stands on tiptoes). After each round of investment, all the players had more money in the game and returns remained anemic. Thus, we faced a miserable choice: huge capital investment would have helped to keep our textile business alive, but would have left us with terrible returns on ever-growing amounts of capital. After the investment, moreover, the foreign competition would still have retained a major, continuing advantage in labor costs. A refusal to invest, however, would make us increasingly non-competitive, even measured against domestic textile manufacturers. I always thought myself in the position described by Woody Allen in one of his movies: "More than any other time in history, mankind faces a crossroads. One path leads to despair and utter hopelessness, the other to total extinction. Let us pray we have the wisdom to choose correctly."

Buffett did slowly liquidate Berkshire's textile business. At the time he took control, textiles were its only business. Rather than simply continue to reinvest in it, Buffett redirected to better prospects like insurance capital that would have otherwise funded inventories, receivables, and fixed assets. That decision, and others made for the same reason, eventually turned Berkshire into an investment powerhouse. Its competitors in the textile business that did not liquidate, but chose to stick it out, fared poorly. The experience of Burlington Industries—the largest U.S. textile company at the time Buffett got control of Berkshire Hathaway in 1964, and 21 years later after Berkshire Hathaway had exited the textiles industry—was, wrote Buffett, "instructive:"[50]

In 1964 Burlington had sales of $1.2 billion against our $50 million. It had strengths in both distribution and production that we could never hope to match and also, of course, had an earnings record far superior to ours. Its stock sold at 60 at the end of 1964; ours was 13.

Burlington made a decision to stick to the textile business, and in 1985 had sales of about $2.8 billion. During the 1964-85 period, the company made capital expenditures of about $3 billion, far more than any other U.S. textile company and more than $200-per-share on that $60 stock. A very large part of the expenditures, I am sure, was devoted to cost improvement and expansion. Given Burlington's basic commitment to stay in textiles, I would also surmise that the company's capital decisions were quite rational.

Nevertheless, Burlington has lost sales volume in real dollars and has far lower returns on sales and equity now than 20 years